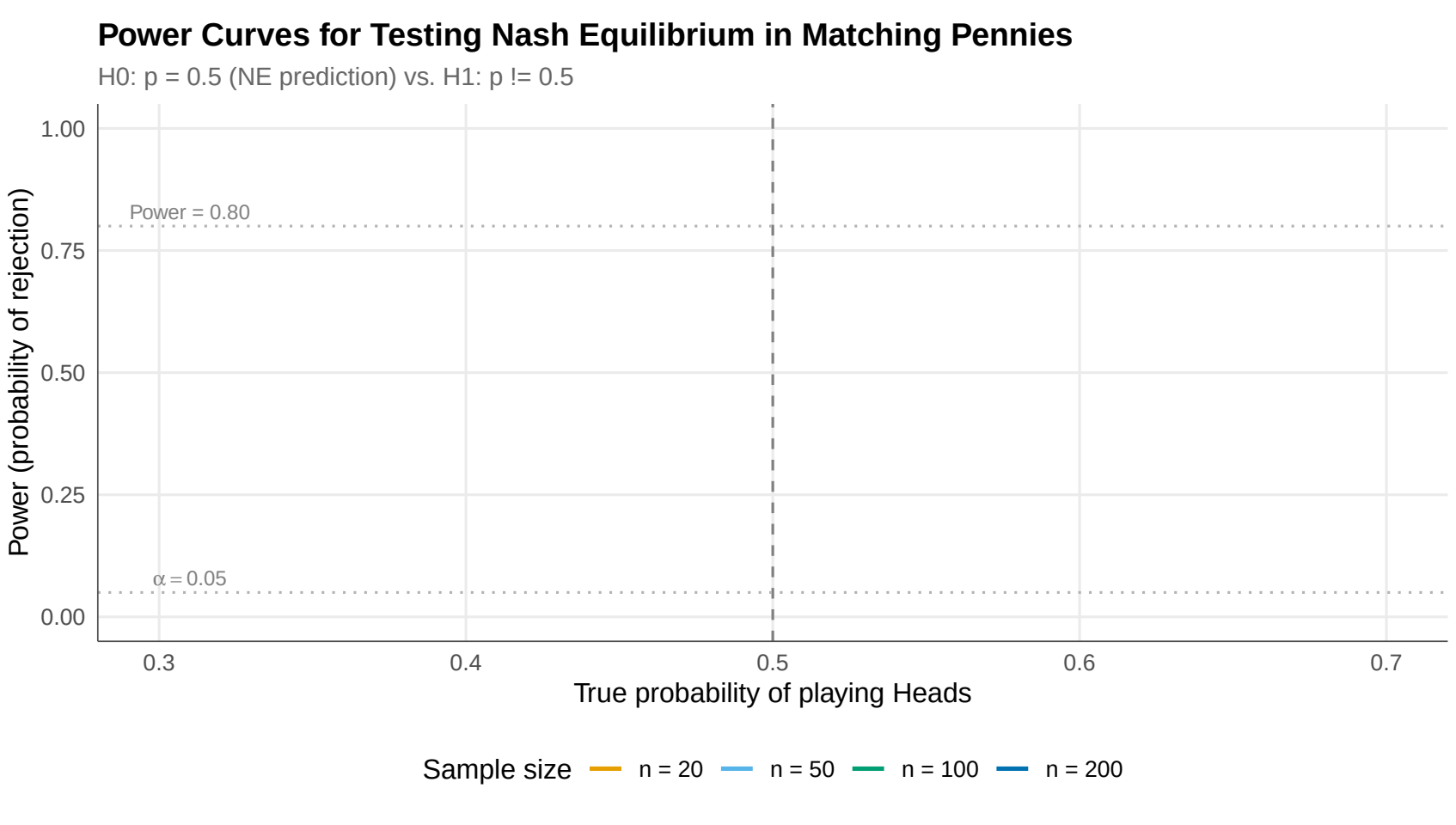
Power Curves for Testing Nash Equilibrium in Matching Pennies
H0: p = 0.5 (NE prediction) vs. H1: p != 0.5
1.00
0.75
0.50
0.25
0.00
Power (probability of rejection)
Power = 0.80
α = 0.05
0.3
0.4
0.5
0.6
0.7
True probability of playing Heads
Sample size
n = 20
n = 50
n = 100
n = 200